

Why BoJ hikes haven't lifted the yen

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Summary

The Bank of Japan has met 21 times since ending negative rates in March 2024, hiking six times and holding 15 times. The yen weakened on the day after 14 of those meetings, and holds moved it almost as much as hikes. That points to surprises, not rate changes, as what moves the currency.

- **Holds matter as much as hikes.** The average USD/JPY move was 0.92% at hikes and 0.84% at holds. The largest move relative to a normal day, 1.35% in April 2024 (about 5.5 times a normal day), came at a hold.
- **Hikes were priced in beforehand.** The 2-year JGB yield rose before all six hikes, and the yen strengthened in the run-up to four of them.
- **Bonds track the BoJ more closely than the yen.** The 10-year JGB yield moved about twice as much on hike days as on hold days, while the yen moved about the same at both.
- **Trade idea (provisional).** Into the meeting ending Oct 30, 2026, express a hawkish BoJ view by positioning for a higher 10-year JGB yield, not by buying the yen.

The puzzle

On 18 September 2026 the BoJ raised its policy rate 25bp to 1.25%, the highest since 1995, and the yen still weakened. USD/JPY rose 0.65% on the day and the 10-year JGB yield fell 1.2bp.

The hike was fully expected, so the tone decided the reaction. The vote was 7–2, with board members Toichiro Asada and Ayano Sato dissenting in favour of holding. Governor Ueda declined to commit to a pace for further hikes ("We shouldn't rule anything out"), and markets read the meeting as cautious ([Babypips](#), [Securities.io](#)).

The US made it harder for the yen too. Two days earlier the Fed raised its own rate 25bp to 3.75–4.00%, its first hike since 2023, and 16 of 18 officials expected at least one more this year ([Trading Economics](#)). So even as Japan tightened, the gap with US rates did not narrow.

To see whether September was a one-off, this note looks at every BoJ meeting since March 2024, holds as well as hikes.

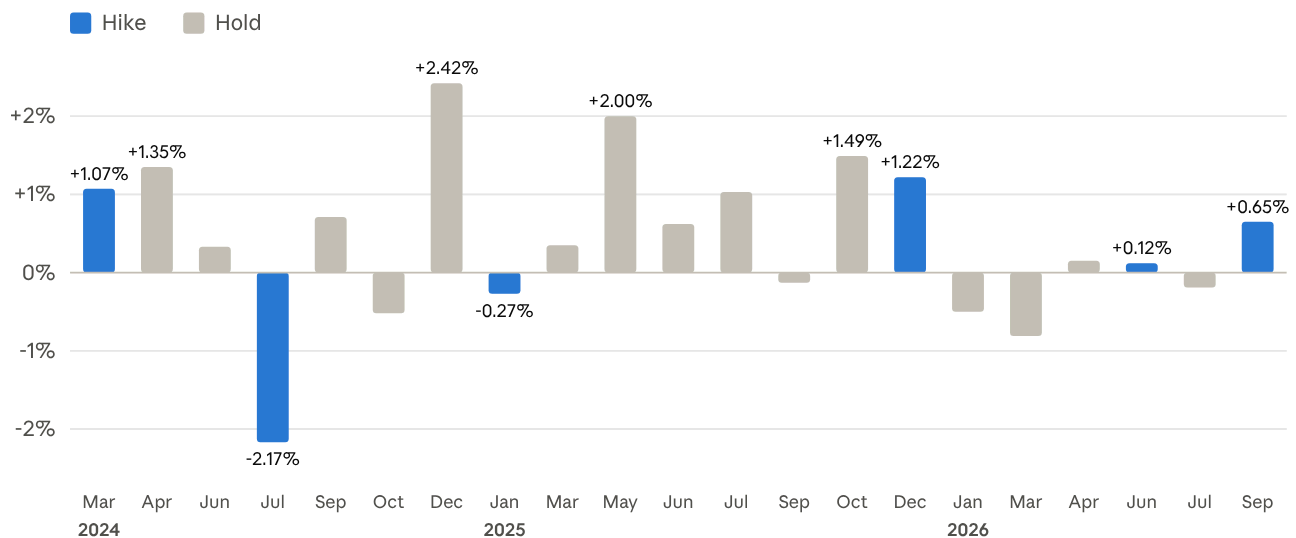
The evidence

The yen weakened on the day after 14 of 21 meetings, 4 of 6 hikes and 10 of 15 holds. Holds moved it about as much as hikes, and the two largest moves in percent terms came at holds.

The yen weakened after 14 of 21 BoJ meetings, and holds moved it as much as hikes

14 of 21 meetings left the yen weaker. Average size of move 0.92% at hikes, 0.84% at holds.

USD/JPY on decision day (% , above zero = yen weaker)



Federal Reserve H.10 (FRED DEXJPUS, noon New York) · all 21 BoJ policy meetings, Mar 2024 to Sep 2026

Against normal conditions, hike days moved USD/JPY about 1.9 times a normal day on average and hold days about 1.7 times. Bonds were different. The 10-year JGB yield moved 4.0bp on average at hikes and 1.9bp at holds, so the bond market responds to the decision itself far more than the yen does.

Priced in beforehand

Before every hike, the market had already moved towards it. The 2-year JGB yield, the best free gauge of expected BoJ policy, rose in the 10 trading days before all six hikes, by 3.4bp on average against 1.5bp before holds. The yen strengthened in the run-up to four of the six.

Hike	2y JGB run-up	USD/JPY run-up	USD/JPY on the day	10y JGB on the day
18 Sep 2026	+1.8bp	-1.85%	+0.65%	-1.2bp
16 Jun 2026	+0.9bp	+0.34%	+0.12%	+6.6bp
19 Dec 2025	+5.2bp	+0.41%	+1.22%	+4.9bp
24 Jan 2025	+5.6bp	-1.46%	-0.27%	+2.3bp
31 Jul 2024	+5.4bp	-3.06%	-2.17%	+5.8bp
19 Mar 2024	+1.2bp	-0.87%	+1.07%	-3.0bp

USD/JPY is yen per dollar, so a negative move means the yen strengthened. The run-up is the 10 trading days before the meeting.

March 2024 and September 2026 are the clearest cases of "buy the rumour, sell the fact." The yen rallied into each meeting, then sold off on the day as the BoJ paired its hike with cautious guidance, and the 10-year yield fell both times. July 2024 is the exception. The yen kept rallying on the day because the BoJ sounded more hawkish than expected.

Yields drifted higher over the whole period, so part of each run-up is trend. The gap between hikes and holds is the meaningful part.

What explains it

The yen moves on how a meeting differs from expectations, while the wide gap with US rates tilts it weaker in the background.

The case for surprises.

1. **Holds move the yen as much as hikes.** A hold changes no rate, so a large move can only come from expectations being wrong. In April 2024 the BoJ held and Governor Ueda played down the weak yen's effect on inflation. USD/JPY rose 1.35%, the largest move relative to a normal day in the sample, and Japan intervened to support the yen days later.

2. **Dovish meetings weaken the yen, whatever the decision.** In May 2025 the BoJ held and cut its growth forecasts, and USD/JPY rose 2.0%. In March 2024 and September 2026 it hiked with cautious guidance, and the yen still fell.

3. **The one hawkish surprise strengthened it.** July 2024 was the hike markets had not fully priced. The yen rallied 2.2% on the day, the only large rally at any hike.

Where surprises aren't enough. In December 2025 and June 2026 the 10-year yield rose on the day of the hike, so the bond market read the BoJ as hawkish. The yen weakened anyway, which points to three background forces.

1. **The US rate gap.** US rates sit at 3.75–4.00% against Japan's 1.25%, and the Fed is hiking too. Borrowing yen to buy dollar assets (the carry trade) still pays after a 25bp BoJ hike, so yen selling continues.

2. **Yields rising for the wrong reason.** The 10-year JGB yield hit 2.945% in August 2026, a 30-year high, driven by oil-led inflation worries and the Takaichi government's expansionary fiscal policy ([Adnkronos](#)). Yields that rise on worry about Japan's finances push investors away from the yen.

3. **Low real rates.** With inflation around or above the policy rate, holding yen earns little after inflation, so Japanese savers keep moving money abroad.

The practical conclusion is that BoJ tightening shows up more reliably in JGB yields than in the yen.

Trade idea (provisional)

Position for a higher 10-year JGB yield through the BoJ meeting ending Oct 30, 2026 , rather than buying the yen. An October hike is seen as a real possibility, USD/JPY trades near 157.7, and markets lean towards further BoJ tightening ([Tradingpedia](#)).

Position	Short 10-year JGB futures (gains if the 10-year yield rises)
Entry	A few trading days before the meeting, at the prevailing yield
Target	10-year yield +7bp from entry
Stop	10-year yield –5bp from entry
Horizon	Exit 5 trading days after the decision

Catalyst	BoJ decision and Ueda's press conference
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If the BoJ hikes. After the last three hikes, the 10-year yield rose 7.0, 8.8 and 8.9bp over the following week. The target would have been reached each time.

If the BoJ holds. This is the main risk, and the 15 past holds show how big it is. The 10-year yield's 5-day move after holds ranged from -5.6bp to +7.6bp and averaged +1.0bp. A -5bp stop would have been hit only once, in July 2025.

Why not the yen. Selling USD/JPY, the obvious way to bet on a hawkish BoJ, would have lost money on the day after 14 of 21 meetings. The yen is also pulled by the Fed, which is hiking, and by the chance of Japanese intervention near current levels.

This is provisional until each past meeting has been classified as a hawkish, dovish or neutral surprise. Student research for learning purposes, not investment advice.

Risks

The view is wrong if the BoJ disappoints by more than markets expect, or if global bonds rally.

- **A dovish hold.** If an October hike is largely priced and doesn't come, yields could fall more than after past holds. The stop is there for this.
- **A global bond rally.** US payrolls rose only 29,000 in September. Weaker US data could pull yields down worldwide, JGBs included.
- **A flight to safety.** A worsening of the Middle East or Russia-Ukraine conflicts could push investors into government bonds and lower yields.
- **Japanese policy shifts.** Changes to the Ministry of Finance's bond issuance or BoJ bond buying could move yields for reasons unrelated to the rate decision.
- **Small sample.** The pattern after hikes rests on six meetings, and three of them drive the result.

What would change the view. If 2-year yields jump in the run-up and previews describe an October hike as certain, much of the move may already have happened, and the risk of a sell-the-fact reversal in bonds rises.

Method and data

The study covers all 21 BoJ policy meetings from March 2024 to September 2026. For each decision day t , it measures the run-up ($t-11$ to $t-1$), the reaction ($t-1$ to t) and the week ($t-1$ to $t+4$), using each market's own trading calendar. Day moves are also scaled by the standard deviation of the previous 20 daily moves, to compare each reaction with a normal day.

- **USD/JPY.** Federal Reserve H.10 noon New York rate (FRED series `DEXJPUS`). Noon New York falls before the midday Tokyo announcement on $t-1$ and after it on t .
- **JGB yields.** Japan's Ministry of Finance daily 2-year and 10-year benchmark yields, Tokyo close. The 2-year yield is a free proxy for expected BoJ policy; swap (OIS) pricing would be more precise.
- **Meeting dates.** The [BoJ meeting schedule](#).
- **Data check.** Yahoo Finance daily FX closes appeared shifted by one day around known moves, so the official Fed series was used instead.

Limitations. 21 meetings show patterns, not statistical proof. Daily data mixes in other news, and in a few cases a Fed decision was announced between the two daily readings. Yields trended up over the period, and the 10-year yield also reflects government borrowing and global bond markets.

Code and data are on GitHub (link to be added).

Sources

- [Babypips, BoJ hikes to 1.25% but the yen falls](#)
- [Securities.io, Summary of opinions on the September hike](#)
- [Trading Economics, Fed raises rates to 3.75–4.00%](#)
- [Adnkronos, 10-year JGB yield hits 2.945%](#)
- [Tradingpedia, USD/JPY holds range \(5 October 2026\)](#)
- [FRED, DEXJPUS](#) and [Ministry of Finance JGB yields](#)